

transferred to Contra Costa. In fact, it confirms that the Stanislaus Court has already ordered the matter transferred to Contra Costa.

### **Consolidation**

The issues raised in the two actions involve common question of law and fact. It would be in the best interests of the Court as well as the Parties to have the two actions consolidated for all purposes.

### **Conclusion**

Plaintiff's motion to transfer the Stanislaus Matter to Contra Costa County Superior Court is **granted**. Once transferred, the Stanislaus Matter will be consolidated with this action.

4. 9:00 AM CASE NUMBER: C24-01956  
CASE NAME: JAMES MARITIME HOLDINGS, INC. VS. MATTHEW MATERAZO  
\*HEARING ON MOTION IN RE: RECOGNIZE SATISFACTION OF SANCTIONS OBLIGATION  
FILED BY: MATERAZO, MATTHEW C.  
**\*TENTATIVE RULING:\***

The parties stipulated and the court ordered that this hearing be **continued** to December 4, 2026 at 9:00 a.m.

5. 9:00 AM CASE NUMBER: C24-02492  
CASE NAME: THOMAS KM, LLC VS. KELLY-MOORE PAINT COMPANY, INC.  
\*HEARING ON MOTION IN RE: ASSIGNMENT ORDER CCP 708.150  
FILED BY: THOMAS KM, LLC  
**\*TENTATIVE RULING:\***

The Plaintiff's unopposed motion for Assignment Order is granted.  
The court will sign the Proposed Assignment Order lodged with the court on March 19, 2026.

6. 9:00 AM CASE NUMBER: C24-03078  
CASE NAME: THALBIR OLI VS. GOVIND SHAHI  
HEARING ON DEMURRER TO: RE 1ST AMENDED COMPLAINT  
FILED BY: SHAHI, GOVIND K.  
**\*TENTATIVE RULING:\***

### **Introduction**

Before the Court is Defendants GOVIND K. SHAHI; SUSHOVAN SHAHI; SUSHMINA

SHAH; and SANTOSH K. SAH's Demurrer. The Demurrer relates to Plaintiffs THALBIR OLI, and SABRINA HAN's First Amended Complaint filed September 16, 2025 for thirteen business tort related cause of actions. The demurrer is brought against the following six of the 13 causes of action: Seventh Cause of Action for Fraudulent Conversion of Member's Interest in LLC (against Sushovan and Sushimina), Ninth Cause of Action for Breach of Fiduciary Duties (Against Sushmina), Twelfth Cause of Action for Aiding and Abetting a breach of Fiduciary Duties (against Santosh), Thirteenth Cause of Action for Intentional Misrepresentation (against Santosh), Fourteenth Cause of Action for Negligent Misrepresentation (against Santosh), and the Fifteenth Cause of Action for Conspiracy to Defraud, Breach of Fiduciary Duties (against all Defendants).

For the following reasons, the **Demurrer is overruled in its entirety.**

### **Meet and Confer Requirement**

Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Plaintiff's counsel in the Declaration of Matthew Schumacher. On October 6 through 8, 2025, the parties exchanged emails and meet and confer letters. (Decl. of Schumacher at ¶¶ 3-5.) Counsel for the parties spoke on the phone on October 10, 2025, and despite their good faith efforts were unable to reach an agreement. (Decl. of Schumacher at ¶ 6.)

### **Request for Judicial Notice**

Only relevant material is a proper subject of judicial notice, even where the Evidence Code provides in mandatory terms that matters be judicially noticed." (*Hayward Area Planning Assn. v. City of Hayward* (2005) 128 Cal.App.4th 176, 182 citing *Mangini v. R.J. Reynolds Tobacco Co.* (1994) 7 Cal.4th 1057, 1063.)

The Court abstains from ruling on the two requests for judicial notice by Plaintiffs because the exhibits were not used in Plaintiffs' opposition and the Court did not consider them in its ruling.

### **FAC Allegations**

The allegations of the FAC are summarized as follows.

#### **Origins of Relationships**

OLI and GOVIND both are originally from Nepal. During his social interactions with the people from Nepalese community, OLI became to know GOVIND and became close to him during their various social interactions throughout the past several years. (FAC ¶ 14.) OLI considered GOVIND as his senior guardian and looked to him as a father

figure. (FAC ¶ 15.) In or around end of March 2023, SHAHIS family went to visit OLI in his liquor store in Daly City. During the visit, GOVIND talked about his interest in forming a partnership business with OLI. (FAC ¶ 18.)

GOVIND represented that his daughter SUSHMINA was also interested in running a liquor store business and she was also willing to become a partner, if OLI was interested to join her. (FAC ¶ 19.) Knowing very well about SUSHMINA's unsuccessful business operations ending up with litigation or hostilities with her prior partners, OLI told GOVIND that he would not want to be a partner with SUSHMINA. (FAC ¶ 20.) GOVIND then requested OLI to train SUSHMINA managing a liquor store business. OLI considered SUSHMINA as a sister and would not mind teaching SUSHMINA how to manage a liquor store business if she just wants to learn it from him. (FAC ¶ 23.) However, OLI made it clear about his personal affairs and business affairs as separate and that he did not want to involve SUSHMINA in his business affairs as she needed to learn more about the business. (FAC ¶ 24.)

#### Purchase of the JUG SHOP

Plaintiffs OLI with assistance of HAN researched several business options and after sifting through their options OLI and Defendant GOVIND then decided to buy the JUG SHOP. (FAC ¶ 27.) OLI's credit score was not good due to his friend's recent nonpayment of car loan for which he had co-signed to help the friend get his car loan. (FAC ¶ 28.) GOVIND suggested HAN sign the lease agreement, and HAN agreed to sign the lease agreement on OLI's request. (FAC ¶ 29.) GOVIND mentioned that he was involved in a lawsuit that could lead to an unfavorable judgment against him, and his credit score compromised, he then proposed to have his son SUSHOVAN sign the lease agreement instead of him. GOVIND reassured OLI that this arrangement would be fine, as both he and OLI shared a strong mutual trust and were dedicated to being reliable business partners. (FAC ¶ 31.)

GOVIND then suggested that he and OLI adopt the business registered by SUSHMINA, which OLI agreed. (FAC ¶ 33.) GOVIND sent through SUSHMINA a raw agreement draft to OLI proposing SUSHMINA to be appointed as a general manager to represent his and MIRA's interests. (FAC ¶ 34.) Given SUSHMINA's history of unsuccessful management of previous partnership businesses, which led to litigation and conflicts among other partners, OLI expressly refused to involve SUSHMINA in any capacity, even as a representative or a general manager. (FAC ¶ 35.)

HAN and OLI obtained a loan and then tendered \$153,000 (one hundred and fifty-three thousand dollar) to the escrow as consideration for their share of partnership in the JUG SHOP. The escrow process to buy the JUG SHOP was completed on August 14, 2023. OLI has been continuously paying interest in the amount approximately \$3,000

(three thousand dollar) each month since then. (FAC ¶ 38.) Pursuant to OLI and GOVIND's agreement to manage the JUG SHOP by themselves, they requested SUSHOVAN and HAN to amend the Article of Information of the OM NAMAHA LLC as "Member managed" which SUSHOVAN and HAN did on July 21, 2024. (FAC ¶ 39.)

There was never an agreement between OLI, GOVIND, SUSHOVAN or HAN to appoint or hire a manager or to have the LLC to be managed by a manager. During the transfer process of ABC license for the JUG SHOP, HAN was told by SUSHMINA to sign in a boilerplate LLC agreement, however, terms of which were never discussed or agreed upon by OLI, GOVIND, SUSHOVAN or HAN. (FAC ¶ 40.)

#### SUSHMINA Business Interventions

On December 8, 2023, HAN sent an iPhone message to SUSHOVAN, SUSHMINA and OLI asking about if there was an account for the JUG SHOP in order to obtain K-1 form for her tax purposes. (FAC ¶ 47.) SUSHMINA responded, "We have a CPA for the store. What is your question that you are preparing? I will forward this info to him and get info back to you. He is in Nepal and he may not respond." (FAC ¶ 48.)

SUSHMINA again interfered with OLI's management decisions on February 2, 2024. OLI again friendly reminded SUSHMINA about her status in the JUG SHOP and told her not to interfere with OLI's JUG SHOP management. OLI told SUSHMINA that if she has any concern about the management, he and GOVIND should come to a resolution. (FAC ¶ 49.) On March 10, 2024, a meeting was held where OLI told the SHAHIS that if SUSHMINA was going to be involved in JUG SHOP management, he was going to pull out his partnership with GOVIND. (FAC ¶ 50.)

#### SUSHMINA Threats

On March 16, 2024, while randomly checking the JUG SHOP security camera to check activities in JUG SHOP with intent to fulfil his managerial duties and protect his ownership interest in JUG SHOP, OLI saw SUSHMINA grabbing a cigarette pack from the store showcase rack, putting the cigarette pack in her pocket without scanning it in the POS system. (FAC ¶ 53.) On March 28, 2024, OLI was talking with a JUG SHOP employee then logged into the JUG SHOP security camera to help the employee find an insurance document. (FAC ¶ 55.) SUSHMINA took it as an opportunity to retaliate against OLI accusing him that he was monitoring her on the camera and then she threatened HAN stating that she was filing a report for harassment against OLI. (FAC ¶ 56.) In another text on same day, on March 28, 2024, SUSHMINA threatened HAN about filing a restraining order and harassment charges against OLI with the Police. (FAC ¶ 57.) Later that same day, SUSHMINA threatened HAN via third threatening text message that she was on her way to Pleasant Hill police. (FAC ¶ 58.)

### Plaintiffs Declare They Want Out of JUG SHOP

OLI called a meeting with SHAHIS and proposed either to pull out of the partnership with GOVIND for the JUG SHOP or sell the JUG SHOP. (FAC ¶ 59.) As SUSHMINA had stated that she was filing a restraining order and harassment charges against OLI, he did not want any problem with law enforcement and therefore he stopped going to the JUG SHOP after SUSHMINA's threats. (FAC ¶ 61.) As OLI had been actively involved in the management of JUG SHOP until around end of March 2024, he knew that the JUG SHOP was operating in profit until then. (FAC ¶ 63.) Since then, SHAHIS took exclusive control of the JUG SHOP inventory, all books and record of the OM NAMAHA LLC. (FAC ¶ 62.)

### Transfer of OM NAMAHA LLC

On April 29, 2024, GOVIND and OLI had their respective representative SUSHOVAN and HAN sign an LLC MEMBERSHIP TRANSFER AGREEMENT (hereafter, "LLC MITA"). (FAC ¶ 65.) On May 3, 2024, SUSHOVAN fraudulently transferred OM NAMAHA LLC into his name alone and filed Statement of Information Limited Liability Company with the Secretary of the State of California, running afoul of the LLC MITA. (FAC ¶ 68.)

Paragraph 1(b) of the LLCC MITA provided "The Purchase Price shall be payable to Buyer to Seller, and the Transferred Membership Interest shall be transferred by Seller to Buyer, on July 15, 2024 (the "Closing"). (FAC ¶ 70.) Despite such provision, SHAHIS including SUSHOVAN did not provide the record, books and accounting or Balance Sheet and Profit and Loss Statement of the LLC until August 31, 2024, nor paid the consideration to HAN and OLI by the due date pursuant to LLC MITA. (FAC ¶ 71.)

On July 15, 2024, SHAHIS breached the LLC MITA by SUSHMINA, on behalf of GOVIND and SUSHOVAN, informing HAN via text message that they were not going to perform. (FAC ¶ 81.) On July 27, 2024, GOVIND notified OLI that he would not be involved in the JUG SHOP project, breaking his promises which OLI had detrimentally relied. (FAC ¶ 82.)

### Balance Sheet and Profit and Loss Statements for JUG SHOP

The Balance Sheet and Profit and Loss Statement for the JUG SHOP that was presented to HAN and OLI contained several fabricated statements with respect to expenses of the JUG SHUP; unfounded allegations against OLI; self-dealing transactions on part of SUSHOVAN and his agent and sister SUSHMINA; including accountant's fees under the legal and professional services heading in the amount of \$14,000 to SANTOSH who admitted with HAN on August 9, 2024 that he was not an accountant for OM NAMAHA LLC, rather, he represented SUSHMINA as an individual. (FAC ¶ 91.) The Balance Sheet and Profit and Loss Statement for the JUG SHOP that

was presented to OLI and HAN by SUSHMINA on behalf of GOVIND and SUSHOVAN contained a self-dealing declaration by SUSHMINA herself as an agent of SUSHOVAN for the first time, without any authority, consent or agreement by the LLC members or the JUG SHOP partners which provided her salary as a self-declared general manager in the amount \$81,698. (FAC ¶ 92.) The Balance Sheet and Profit and Loss Statement for the JUG SHOP that was presented to OLI and HAN by SUSHMINA on behalf of GOVIND and SUSHOVAN contained information inflating SUSHMINA's work hours in the JUG SHOP and understating OLI's work hours. (FAC ¶ 93.)

#### End of Plaintiff Defendant Business Relations

On September 7, 2024, GOVIND invited OLI to meet to discuss possibly OLI purchasing SHAHI's share of interest in the JUG SHOP. (FAC ¶ 94.) On September 8, 2024, SUSHMINA sent an email to HAN and SUSHOVAN stating that SHAHIS are planning to sell the JUG SHOP. (FAC ¶ 95.) On September 9, 2024, OLI went to meet GOVIND in a good faith attempt to resolve the issues mutually despite multiple breaches of promises, fraudulent conversion of LLC and breach of the LLC MITA by the SHAHIS. However, GOVIND was not ready to fulfill his past promises and to pay OLI and HAN pursuant to LLC MITA. (FAC ¶ 96.)

On September 12, 2024, HAN discovered that her name from the joint account with Chase Bank Pleasant Hill for the JUG SHOP was removed by SHAHIS without her knowledge or consent. (FAC ¶ 97.) On the same day, SHAHIS sent a letter via email through their attorney to HAN and OLI, falsely claiming that OLI and HAN will be liable of fraud, misrepresentation, breach of oral contract, breach of the Company Agreement, breach of the duty of care, and breach of the duty of loyalty in the avoidable event and offering only \$20,000 to HAN and OLI in condition to waive all of the claims with respect to the JUG SHOP and the OM NAMAHA LLC with SHAHIS. (FAC ¶ 98.)

Plaintiffs are informed and believe, and based thereon allege that, at least from the beginning of July 2024, SHAHIS clearly knew that HAN was pregnant, but SHAHIS kept intentionally inflicting emotional distress to HAN and OLI. (FAC ¶ 99.) Plaintiffs are informed and believe and based thereon allege that SHAHIS are actively showing the JUG SHOP to buyers with intent to usurp HAN and OLI's interests. (FAC ¶ 100.)

Plaintiffs allege that as a proximate and direct result of the intentional infliction of emotional distress by SHAHIS to HAN and OLI, HAN went through complications in her pregnancy and had an urgent Cesarean surgery to deliver a premature baby. (FAC ¶ 101.) Plaintiffs allege that SHAHIS did not comply with any of the LLC formalities, they were involved in self-dealing and fraudulent conducts with respect to OM NMAHA LLC and therefore they are individually, jointly and severally labile for all causes of action

alleged herein. (FAC ¶ 102.)

### **Legal Standard**

“The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court “assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Uncertainty is a well-established ground of demurrer. (*Martin v. Bank of San Jose* (Cal. App. 1929) 98 Cal. App. 390.) The objection of uncertainty does not go to failure to allege sufficient facts but to doubt as to what the pleader means by the facts alleged. (*Brea v. McGlashan* (1934) 3 Cal. App. 2d 454.) A special demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but is directed at the uncertainty existing in the allegations actually made. (*Butler v. Sequeira* (1950) 100 Cal. App. 2d 143.) A Complaint is ambiguous and uncertain where it cannot be ascertained therefrom whether acts complained of were committed by defendants in their individual capacity, or in one of other capacities in which they are alleged to have acted. (*Lapique v. Ruef* (1916) 30 Cal. App. 391.)

### **Analysis**

#### **Seventh Cause of Action for Fraudulent Conversion (Against SUSHOVAN and SUSHMINA)**

The Demurrer argues that the Seventh Cause of Action for Fraudulent Conversion fails to state sufficient facts. “Conversion is the wrongful exercise of dominion over the property of another.” (*Welco Electronics, Inc. v. Mora* (2014) 223 Cal. App. 4th 202, 208.) The elements of conversion are “(1) the plaintiff’s ownership or rights to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (*Id.*) “It is the uniform rule of law that shares of stock in a company are subject to an action in conversion.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal. App. 4th 97, 122.) Further, when fraud is alleged, the heightened pleading requirements imposed by California Law should be applied. “In California, fraud must be pled specifically; general and

conclusory allegations do not suffice.” (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 645.) “This particularity requirement necessitates pleading facts which show how, when, where to, to whom, and by what means the representations were tendered.” (Id.)

### **Ownership and Right to Possession**

The FAC alleges that HAN was a member of OM NAMAHA LLC with a valid ownership interest entitling her to co-ownership, access to records, management participation, and profits, representing a \$153,000 investment. (FAC ¶¶ 175–176.) On April 29, 2024, HAN and Defendant SUSHOVAN SHAHI executed a written LLC Membership Interest Transfer Agreement (“LLC MITA”), under which HAN agreed to sell 100% of her membership interest to SUSHOVAN, with the purchase price to be determined after completion of a Balance Sheet and Profit and Loss Statement. (FAC ¶¶ 182–184.) The LLC MITA expressly prohibited SUSHOVAN from amending LLC records or exercising unilateral control before closing. (FAC ¶ 185.)

### **Wrongful Dominion and Deprivation of Property**

Without paying any consideration and without providing the required Balance Sheet or Profit and Loss Statement, SUSHOVAN unilaterally removed HAN as a member by filing a Statement of Information listing himself as the sole member of OM NAMAHA LLC. (FAC ¶¶ 68, 186.) At the same time, SUSHOVAN and SUSHMINA removed HAN from the LLC’s Chase Bank operating account, cutting off her access to the company’s finances and records. (FAC ¶ 187.)

### **Fraudulent Conduct**

Defendants argue that because the Seventh Cause of Action uses the word “fraudulent,” it must satisfy heightened pleading requirements and allegedly does not. This argument fails.

Plaintiff’s Seventh cause of action incorporates by reference all factual allegations alleged in paragraph 1 through 173. (¶ 174). The FAC pleads with specificity that Defendants delayed disclosure of financials, fabricated Balance Sheets and Profit and Loss Statements, inflated expenses, inserted unauthorized salary payments to SUSHMINA, and misrepresented the role of Defendant SANTOSH SAH to justify unilateral control and coercive valuation. (FAC ¶¶ 87, 91–93, 188–191.) These allegations identify who committed the misconduct, what was misrepresented, when the acts occurred, how the scheme operated, and why it was fraudulent—satisfying *Lazar v. Superior Court* (1996) 12 Cal.4th 631.

### **Damages**

The FAC alleges substantial damages, including loss of HAN’s \$153,000 investment,



lost profits, loss of ownership and management rights, exposure to third-party creditor liability, and severe emotional distress resulting from Defendants' fraudulent and oppressive conduct (FAC ¶¶ 176, 193–195, 101). The FAC further alleges that Defendants SUSHOVAN and SUSHMINA SHAHI, without member approval or authorization, diverted LLC assets subject to division under the LLC MITA by allocating approximately \$81,698 to SUSHMINA as an unauthorized "manager salary" (FAC ¶ 92), and over \$14,000 in legal and accounting fees without disclosure or approval (FAC ¶ 93), while inflating expenses and fabricating financial records during their exclusive control of the LLC's assets, books, and accounting (FAC ¶ 91).

The Demurrer is overruled as to the Seventh Cause of Action.

#### **Ninth Cause of Action for Breach of Fiduciary Duties (Against SUSHMINA)**

Defendants argue that in no way can this principal-agent theory be construed to create a fiduciary obligation stemming from an agent to a third party. Defendants also argue that there are no facts to indicate that SUSHMINA owed a fiduciary duty to Plaintiffs, and because the legal theory presented is uncertain and/or unintelligible, this cause of action is appropriate subject to demurrer. (Motion at p. 10: 13-16.)

Plaintiffs rebut this premise with case law. Under *City of Hope National Medical Center v. Genentech, Inc.* (2008) 43 Cal.4th 375, 386, a fiduciary relationship exists where a defendant knowingly undertakes to act on behalf and for the benefit of another—without any requirement of formal designation as an officer, member, or manager. Similarly, *Duffy v. Cavalier* (1989) 215 Cal.App.3d 1517, 1534 holds that one who voluntarily assumes a relationship of confidence and thereby exercises control over another's affairs owes fiduciary duties as to those interests. Additionally, an agent who acts for her own advantage forfeits any immunity otherwise afforded and may be held liable for participating in or inducing breaches of fiduciary duty. (*Everest Investors 8 v. Whitehall Real Estate Ltd. Partnership XI* (2002) 100 Cal.App.4th 1102.) Under these authorities, Defendants' focus on SUSHMINA SHAHI's lack of formal LLC membership is ineffective.

The FAC pleads facts establishing that SUSHMINA SHAHI knowingly assumed fiduciary responsibilities toward Plaintiffs. It alleges that SUSHMINA acted as an agent for SUSHOVAN SHAHI and GOVIND SHAHI in the operation, management, and financial affairs of JUG SHOP and OM NAMAHA LLC (FAC ¶ 205); held herself out as possessing superior knowledge of liquor-store operations and accounting while directing business operations and controlling financial documentation (FAC ¶¶ 206–208); represented SUSHOVAN in business dealings, communicated with third parties on his behalf, and drafted correspondence from his email account, demonstrating agency and control (FAC ¶ 208); and induced Plaintiff HAN's reasonable reliance on her assumed role,

experience, and representations in managing the business and preparing documents (FAC ¶ 208).

The Demurrer is overruled as to the Ninth Cause of Action.

### **Twelfth Cause of Action for Aiding and Abetting a breach of Fiduciary Duty (Against SANTOSH)**

“A defendant is liable for aiding and abetting another in the commission of an intentional tort, including a breach of fiduciary duty, if the defendant ‘knows the other’s conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act.’” (*Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal. App. 4th 1138, 1143.) “The elements ... are: (1) a third party’s breach of fiduciary duties owed to plaintiff; (2) Defendant’s actual knowledge of that breach of fiduciary duties; (3) substantial assistance or encouragement by defendant to the third party’s breach; and (4) defendant’s conduct was a substantial factor in causing harm to Plaintiff.” (*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal. App. 4th 1451, 1478.)

#### **Fiduciary Duty Owed to Ms. HAN from GOVIND SHAHI**

Defendants posit that nowhere in the FAC is there any basis (legally or factual) that imposes a fiduciary obligation being owed by GOVIND SHAHI to Sabrina HAN and cite to FAC ¶ 230. However, in just the previous paragraph the FAC alleges, at all relevant times, GOVIND K. SHAHI owed fiduciary duties to OLI as his partner and co-venturer in the JUG SHOP; SUSHOVAN SHAHI owed fiduciary duties to HAN as her co member of the member-managed OM NAMAHA LLC; and SUSHMINA SHAHI assumed fiduciary duties to HAN and OLI by inserting herself into management (and, as a learner under OLI, adopting duties of loyalty, candor, and fair dealing, as well as those GOVIND owed to OLI when she asserted a managerial role). (FAC ¶ 229.)

#### **Fiduciary Duty owed by SUSHMINA SHAHI to Ms. HAN or Mr. OLI**

Plaintiffs established the fiduciary duty owed by SUSHMINA SHAHI to Ms. HAN or Mr. OLI through current case law as described in the Ninth Cause of Action section above.

#### **No Substantial Factor Because THALBIR OLI is not an Alleged Owner of OM NAMAHA LLC**

Defendants contend that there are no allegations in the FAC that Mr. OLI had any ownership interest in OM NAMAHA LLC. The FAC alleges that JUG SHOP was initially bought by GOVIND and OLI following general partnership oral agreement between them and then it was later adopted by OM NAMAHA LLC in GOVIND’s instruction for convenience. (FAC ¶¶ 13, 39.)

The FAC pleads that SANTOSH had actual knowledge of the fiduciary relationships, Plaintiffs' ownership interests, and the LLC Membership Interest Transfer Agreement; knew the financials would be used to price HAN's buyout and affect OLI's rights; knew there was no authority for SUSHMINA SHAHI's salary or the reported losses; and nevertheless, delayed disclosures, falsely disavowed his role, and authored or approved manipulated financial statements to facilitate those breaches. (FAC ¶¶ 231–237.) These well pleaded facts squarely satisfy California's standard for aiding-and-abetting liability and defeats demurrer.

**No Substantial Factor Because Sabrina HAN was not bound to Ms. SAH's Services**

Defendants contend that the FAC can be interpreted to show an "attempted" aiding and abetting of a breach of fiduciary duty, but without any allegations showing how Ms. HAN was damaged.

The FAC alleges that SANTOSH's coordinated delay and false disavowal enabled the SHAHI defendants to manipulate records, exclude Plaintiffs from accounts, conceal self-dealing, and depress valuation, while his August 31 financials supplied the mechanism used to justify exclusion and coerce a lowball buyout. (FAC ¶¶ 232–237.) Plaintiffs' refusal to accept that coerced buyout does not defeat causation; the FAC pleads ongoing damages including loss of access to records and accounts, devaluation of ownership interests, exposure to creditor claims, lost profits, professional fees, and emotional distress. (FAC ¶ 238.)

The Demurrer is overruled as to the Twelfth Cause of Action.

**Thirteenth Cause of Action for Intentional Misrepresentation (Against SANTOSH)**

Defendants argue that the Thirteenth Cause of Action for Intentional Misrepresentation fails to state sufficient facts. The elements of intentional misrepresentation "are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage." (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1245; citing *Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230–231.)

**Particularity, Misrepresentation, Knowledge of Falsity**

Defendants argue that FAC ¶ 241 cannot constitute a misrepresentation because SANTOSH SAH "candidly" told Plaintiff HAN that he was not the accountant for OM NAMAHA LLC and instead represented SUSHMINA individually.

This argument fails because the FAC alleges that this statement was false when made and intended to mislead. Specifically, the FAC alleges that on August 9, 2024, SAH affirmatively told HAN that he was not the accountant for OM NAMAHA LLC and that

he represented only SUSHMINA in her individual capacity. (FAC ¶ 241.) However, the FAC further alleges that this statement was untrue: on August 31, 2024, SUSHMINA transmitted financial documents to HAN and OLI whose spreadsheet metadata clearly identified SAH as the author and preparer of the LLC's financials. (FAC ¶ 244.) The FAC also alleges that SAH prepared and/or approved the Balance Sheet, Profit and Loss Statement, inventory, and related spreadsheets that were used to set HAN's buyout price under the LLC MITA. (FAC ¶¶ 234–235.) At the pleading stage, these allegations sufficiently allege that SAH's August 9 representation was knowingly false, misleading, and material.

### **Scienter, Actual, and Justifiable Reliance**

Defendants argue Mr. SAH was truthful to Ms. HAN in telling her he was not an accountant for OM NAMAHA LLC, Ms. HAN relied on this not to take any further action to enforce her contractual and statutory inspection rights.

This argument ignores the misrepresentation that was alleged earlier in the FAC. (See FAC ¶¶ 241-47.)

The FAC further alleges that at the time SAH told HAN he was not the LLC's accountant, he intended to delay production of the financial records and to enable the SHAHIS to continue pressuring Plaintiffs into accepting a below-market buyout. (FAC ¶ 242.) It further alleges that SAH intended HAN to rely on that representation so that she would refrain from insisting on immediate disclosure and formal enforcement of her inspection rights. (FAC ¶ 243.) The FAC also alleges that when SAH later prepared and transmitted the August 31 financials, he knew the statements were false or recklessly disregarded their falsity and intended HAN to rely on them to accept a diminished valuation and acquiesce in ownership and governance changes favorable to the SHAHI family. (FAC ¶¶ 245–247.)

The FAC additionally alleges that, in reliance on SAH's representation that he was not the LLC's accountant, HAN refrained from demanding immediate production of the LLC's financial records from him or pursuing other formal remedies to enforce her inspection and contractual rights. (FAC ¶ 248.) This forbearance allowed the SHAHIS additional time to manipulate records, exclude HAN from accounts, and prepare distorted financials. (FAC ¶¶ 242, 248–249.)

### **Damages**

The FAC pleads that SAH's misrepresentation and intentional delay were a substantial factor in enabling the SHAHIS to manipulate financial records, fraudulently convert LLC assets and inventory, and deprive HAN of the value of her \$153,000 investment. (FAC ¶ 249.) It further alleges that HAN suffered lost profits, loss of ownership rights, out-

of-pocket legal expenses, exposure to creditor claims, and severe emotional distress, including health complications and premature birth. (FAC ¶ 249.)

The Demurrer is overruled as to the Thirteenth Cause of Action.

#### **Fourteenth Cause of Action for Negligent Misrepresentation (Against SANTOSH)**

Defendants argue that the Fourteenth Cause of Action for Intentional Misrepresentation fails to state sufficient facts. “The elements of negligent misrepresentation are (1) a misrepresentation of a past or existing material fact, (2) made without reasonable grounds for believing it to be true, (3) made with the intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.” (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 196.)

##### **Misrepresentation**

Defendants contend that from FAC ¶¶ 254 – 255, the alleged misrepresentation proffered by Plaintiff HAN is that Mr. SAH promise to complete OM NAMAHA LLC financials by a certain time date or within a certain time is a representation of future events. The Court is not persuaded. The allegations for this cause of action complains of the same misrepresentation in the thirteenth cause of action for intentional misrepresentation and Plaintiffs are in their right to plead in the alternative. (See *Mendoza v. Rast Produce Co., Inc.* (2006) 140 CA 4th 1395, 1402 [When a plaintiff is in doubt about what can be established by the evidence, he or she may plead in the alternative, asserting alternative theories of recovery.])

##### **Justifiable Reliance**

Please see the above Scienter, Actual, and Justifiable Reliance section as that analysis also pertains to this cause of action.

The Demurrer to the Fourteenth Cause of Action is overruled.

#### **Fifteenth Cause of Action for Conspiracy to Defraud, Breach of Fiduciary Duties (Against all Defendants)**

A conspiracy claim is not defeated unless and until the underlying torts are adjudicated legally insufficient. (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 511.)

Plaintiffs’ cause of action for conspiracy is not defeated because Plaintiffs will have causes of action that survive this Demurrer. Even if this Demurrer were to be granted in full, this Demurrer did not challenge all the causes of action that this conspiracy cause of action depends on (*e.g.*, the Eleventh Cause of Action for Intentional Infliction of Emotional Distress), thus the conspiracy cause of action must survive.

The Demurrer to the Fifteenth Cause of Action is overruled.

**Conclusion**

The **Demurrer is overruled in its entirety.**

Defendants must file their Answer within 15 days of service of notice of entry of this order.

7. 9:00 AM CASE NUMBER: C24-03509  
CASE NAME: AJ JACKSON VS. ANTIOCH UNIFIED SCHOOL DISTRICT  
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT  
FILED BY: ANTIOCH UNIFIED SCHOOL DISTRICT  
**\*TENTATIVE RULING:\***

Defendant Antioch Unified School District's Demurrer to Plaintiff AJ Jackson's First Amended Complaint ("FAC") is **sustained without leave to amend**. Defendant shall prepare and submit a proposed order and file and serve notice of entry of order.

**Background**

Plaintiff AJ Jackson, a minor, by and through his Guardian Ad Litem Chablis McDuffie, alleges that on January 1, 2024, while attending Carmen Dragon Elementary, he was physically assaulted by other students while under the custody, control, and care of District employees. (FAC ¶¶ 12-13.) Plaintiff alleges that District staff "failed [to] take appropriate action" to protect him. (*Id.* ¶ 13.) Plaintiff seeks to hold the District vicariously liable for the negligence of its employees under Government Code section 815.2, and further alleges the District owed him a mandatory duty of supervision under Education Code section 44807 and California Code of Regulations, title 5, section 552. (*Id.* ¶¶ 14-19.)

Plaintiff alleges that a government claim was served on the District pursuant to Government Code section 911.2 and has not been rejected. (*Id.* ¶¶ 8-9.) Plaintiff further alleges the claim was mailed on or about June 26, 2024, via USPS certified mail, to the District's principal office at 510 G Street, Antioch, California, and was delivered on June 28, 2024. (*Id.* ¶¶ 9(a)-(b); Exhs. A-C.) The claim, as attached to the FAC, was addressed to "Antioch Unified School District, Attn: Risk Management." (*Id.*, Ex. A.)